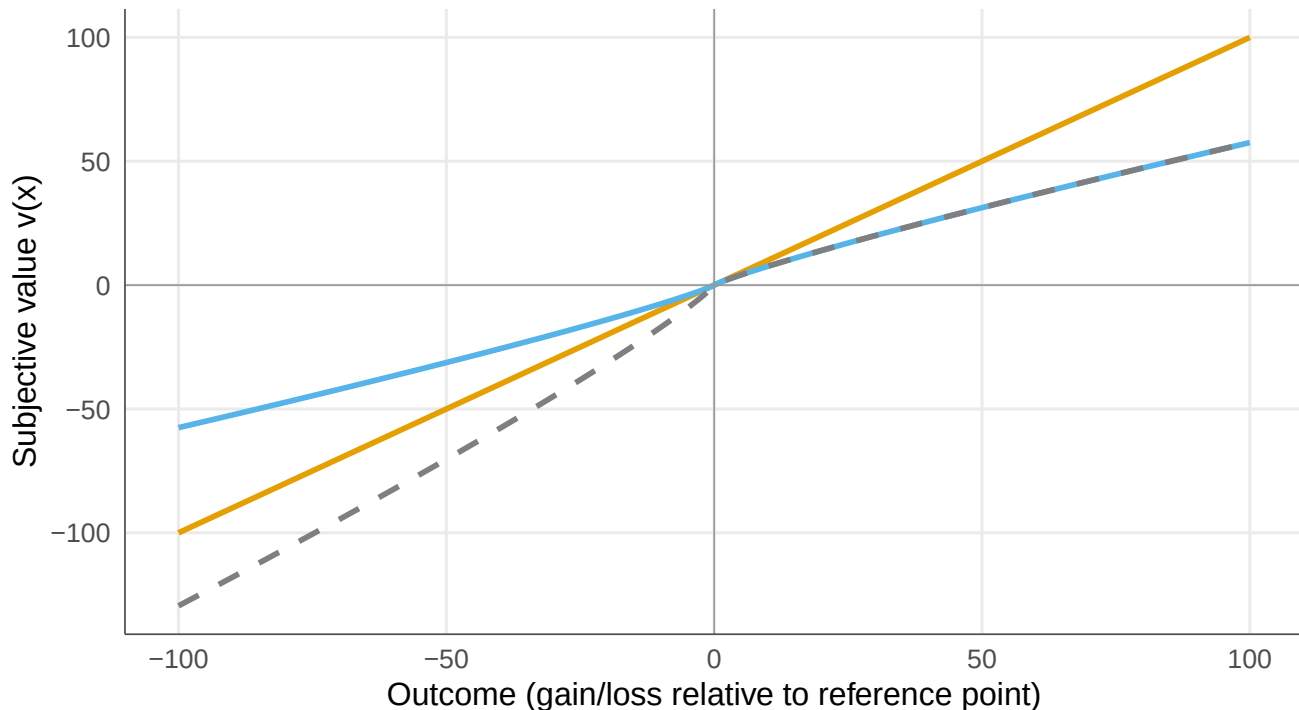


Prospect theory value function

Concave for gains, convex for losses, steeper in the loss domain



— Linear (risk neutral) — PT (lambda = 1.0, no loss aversion) - - PT (lambda = 2.25)